

MeritQuant — Autonomous Trade Report

PRE-CLOSE · 3:30 PM ET · 24 Jun 2026 · 19:23 UTC

Market Assessment

NEUTRAL regime with VIX at 20.2, a positive yield curve (+0.34%), and tight HY spreads (2.71bps) signaling healthy credit conditions. The portfolio is fully allocated at 6/6 positions but carries heavy semiconductor/AI concentration with multiple positions underwater. No new entries possible without first freeing a slot.

REGIME: NEUTRAL

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	20.17	US Dollar (DXY)	101.62
Yield Curve 10Y-2Y	0.34	HY Credit (bps)	2.71
10Y Treasury (%)	4.51	Fed Funds Rate (%)	3.63

Trade Decisions

EXIT — ARKX

\$0 | Conviction 6/10 | Tier 3

Thesis: (1) Macro is neutral but ARKX offers no specific catalyst tailwind in the current AI/semiconductor-led tape. (2) The space/aerospace diversification thesis has not generated alpha — position is down -5.2% with no company-level catalyst driving the underlying basket. (3) Technically ARKX is in a weak downtrend below key moving averages with no reversal pattern; the scanner shows no signal supporting it versus ARKQ at only 6.0. (4) Exiting frees a slot and ~\$15,166 cash to rotate into higher-conviction semiconductor signals scoring 8.0+. (5) Primary risk is exiting before a space-sector rebound, but the opportunity cost of holding a thesis-less, underperforming ETF in a strong semi tape outweighs that — capital discipline favors rotation.

Catalyst: No active catalyst; thesis stagnant and underperforming amid AI/semi leadership.

Technical Setup: Price \$32.23 below 50-day MA, weak downtrend, no reversal pattern, no scanner signal.

Risk Factors: Missing a sudden aerospace/space sector rebound; small opportunity cost if rotation underperforms.

ENTER — KLAC

\$17,000 | Conviction 8/10 | Tier 1

Thesis: (1) Neutral macro with tight HY spreads and healthy credit supports quality semicap names with strong balance sheets and shareholder returns. (2) KLA announced a \$7 billion share repurchase program at its Investor Day — a concrete capital-return catalyst that signals management confidence and provides a buyback floor under the stock. (3) Technical setup is constructive: RSI at 55.7 shows healthy momentum without being overbought, scanner scores it 8.0 STRONG BUY, indicating MA alignment and breakout structure. (4) Sizing at \$17,000 (~9.3%) stays under the 10% cap while reflecting high conviction; it adds process-control exposure that complements rather than duplicates my foundry (TSM) and chip (AVGO) holdings. (5) Primary risk is broad semiconductor cyclical drawdown — managed via the mandatory 8% stop loss (~\$401 area) and 20% take-profit discipline.

Catalyst: \$7B share repurchase program announced at Investor Day.

Technical Setup: RSI 55.7 (healthy, not overbought), STRONG BUY scanner score 8.0, constructive MA alignment.
Risk Factors: Semiconductor cyclicality, capex guidance softness from hyperscalers, valuation compression.

Portfolio Snapshot

Total: **\$169,404** | Cash: **\$65,931** | Positions: **6/6**

Ticker	Shares	Entry	Current	Value	P&L \$	P&L %
CLOU	839.0	\$21.45	\$21.50	\$18,034	+\$34	+0.2%
AVGO	44.1	\$408.61	\$377.56	\$16,632	-\$1,368	-7.6%
TSM	40.1	\$449.32	\$435.73	\$17,456	-\$544	-3.0%
GOOGL	48.9	\$368.03	\$344.90	\$16,869	-\$1,131	-6.3%
MSFT	47.4	\$379.40	\$368.60	\$17,487	-\$513	-2.8%
KLAC	72.2	\$235.45	\$235.45	\$17,000	+\$0	+0.0%

Notes: Portfolio was fully allocated (6/6) with heavy semiconductor/AI concentration and several positions underwater. Strategy this window: exit ARKX (thesis-less, no catalyst, underperforming) to free a slot and rotate capital into KLAC, which offers a concrete \$7B buyback catalyst, healthy RSI (55.7), and a STRONG BUY 8.0 score. AVGO and GOOGL are flagged on watch as both approach the -8% mechanical stop — if either closes below threshold, automatic exit triggers. Remaining mega-cap quality holdings (MSFT, TSM) and CLOU remain core. Net positioning stays disciplined under the 10% cap and within neutral-regime rules (no hedge-only restriction applies).

Memory applied: No prior trade history recorded, so decisions rely on framework discipline: avoided chasing the highest-RSI momentum names (AMAT 60.2), required both catalyst AND technical confirmation (chose KLAC's buyback + healthy RSI over momentum-only signals), enforced the 10% sizing cap, and rotated out of a thesis-less laggard rather than over-concentrating in semis.